

over the last ten years, it is true, tend to keep doing a terrible job. But there's not much evidence that the manager who has been far above average over the last three or five years is going to maintain that record over the coming three or five years. The evidence shows, in fact, that people tend to drop back. Reversion to the mean is a powerful force, and we'll have more to say about it later.

All you can do is try to find somebody whose long-term record, with all the great and not-so-great years, is better than that of the fund's market sector and the average fund in its group, and whose style you have confidence in because it matches the way you think about risk and the market. And once you've found that person, as long as your confidence holds, stick with him or her.